KenGen
Energy for the nation

# THE UNAUDITED FINANCIAL RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2019 AND FULL YEAR ENDED 30 JUNE 2019

The Directors of the Kenya Electricity Generating Company PLC announce the unaudited results for the half-year ended 31 December 2019 and full year ended 30 June 2019 as shown below:

| PBT FOR SIX MONTHS | EPS FOR SIX MONTHS |
|---|---|
| KShs 6,278M | KShs 1.24 |
| +4.3% | +96.8% |

The condensed financial statements are as follows:

## Condensed Statement of Profit or Loss and Other Comprehensive Income

| | Six months | | Twelve months | |
|---|---|---|---|---|
| | 31 Dec 19 Unaudited KShs Million | 31 Dec 18 Unaudited KShs Million | 30 June 19 Unaudited* KShs Million | 30 June 18 Audited KShs Million |
| **Revenue** | **22,361** | **22,185** | **45,966** | **45,290** |
| Reimbursable expenses (fuel and water) | (3,447) | (4,145) | (10,192) | (9,406) |
| **Revenue net of reimbursable expenses** | **18,914** | **18,040** | **35,774** | **35,884** |
| Other income | 479 | 211 | 619 | 274 |
| Other net gains | 246 | 158 | 3,179 | (1,050) |
| | **19,639** | **18,409** | **39,572** | **35,108** |
| **Expenses** | | | | |
| Depreciation & Amortisation | (5,708) | (5,133) | (10,360) | (10,148) |
| Steam costs | (1,661) | (1,667) | (3,357) | (3,549) |
| Operating expenses | (5,569) | (4,980) | (10,571) | (9,969) |
| **Operating Profit** | **6,700** | **6,629** | **15,284** | **11,442** |
| Finance Income | 723 | 733 | 1,423 | 3,341 |
| Finance Costs | (1,145) | (1,340) | (5,054) | (3,037) |
| **Profit Before Tax** | **6,278** | **6,022** | **11,653** | **11,746** |
| Income Tax Expense | 1,892 | (1,898) | (3,769) | (3,855) |
| **Profit After Tax** | **8,170** | **4,124** | **7,884** | **7,891** |
| Other Comprehensive Income- Net (loss)/gain on revaluation of Treasury Bonds | (3) | 12 | (62) | (623) |
| **Total Comprehensive Income** | **8,167** | **4,136** | **7,822** | **7,268** |
| **Basic and Diluted Earnings Per Share (KShs)** | **1.24** | **0.63** | **1.20** | **1.20** |

## Condensed Statement of Financial Position

| | 31 Dec 2019 Unaudited KShs. million | 30 June 2019 Unaudited* KShs. million | 30 June 2018 Audited KShs. million |
|---|---|---|---|
| **ASSETS** | | | |
| Property, Plant and Equipment | 349,722 | 346,737 | 328,082 |
| Other Non-current Assets | 19,475 | 21,056 | 19,859 |
| Current Assets | 31,396 | 33,629 | 31,412 |
| | **400,593** | **401,422** | **379,353** |
| **EQUITY AND LIABILITIES** | | | |
| Share Capital | 16,488 | 16,488 | 16,488 |
| Share Premium | 22,151 | 22,151 | 22,151 |
| Reserves and Retained Earnings | 164,492 | 156,326 | 151,465 |
| Non-current Liabilities | 177,836 | 180,860 | 168,370 |
| Current Liabilities | 19,626 | 25,597 | 20,879 |
| | **400,593** | **401,422** | **379,353** |

## Condensed Statement of Cash Flows

| | Six Months | | Twelve Months | |
|---|---|---|---|---|
| | **31 Dec 2019** Unaudited **KShs. million** | **31 Dec 2018** Unaudited **KShs. million** | **30 June 2019** Unaudited* **KShs. million** | **30 June 2018** Audited **KShs. million** |
| Balance at 1 July | 9,324 | 3,383 | 3,383 | 7,831 |
| Net Cash generated from operating activities | 8,827 | 24,568 | 30,585 | 17,509 |
| Net Cash used in investing activities | (8,564) | (18,895) | (28,808) | (14,843) |
| Net Cash used/generated from financing activities | (4,275) | (293) | 4,094 | (7,144) |
| Effects of exchange rate changes on cash and cash equivalents | (83) | - | (70) | 29 |
| **Balance at end of period** | **5,229** | **8,763** | **9,324** | **3,383** |

** The Audit of the financial statements for the year ended 30 June 2019 is not complete pending the appointment of the Auditor-General. After consultation with the Capital Markets Authority (CMA) and the Office of the Auditor-General (OAG), we are pleased to present the same unaudited financial statements for the period ended 30 June 2019 alongside the unaudited half year results for the period ended 31st December 2019.*

*We also wish to inform our esteemed shareholders and other stakeholders that, following guidance by the CMA, the period within which the company is required to hold its Annual General Meeting for the year ended June 30, 2019 has been extended until further notice.*

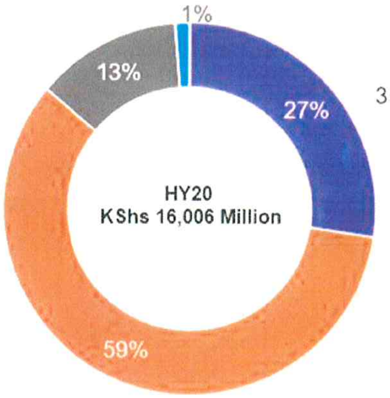
## Basis of Preparations

The condensed financial statements for the six-months period ended December 31, 2019 has been prepared in accordance with the International Accounting Standard 34 (IAS 34) "Interim Financial Reporting". The same accounting policies, presentation and methods of computation have been followed in these condensed financial statements as were applied in the company's unaudited financial statements for the year ended June 30, 2019 and the audited financial statements for the year ending 30 June 2018.

## Business Commentary for the six months ended 31 December 2019

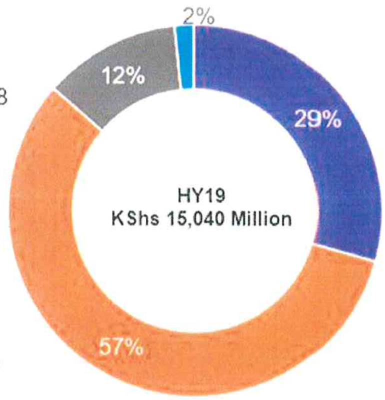
Revenue net of reimbursables increased by 4.8% from KShs. 18,040 million in 2018 to KShs. 18,914 million for the six months ended $31^{st}$ December 2019. This growth was buoyed by a 6.4% increase in electricity revenue from KShs. 15,040 million earned in 2018 to KShs. 16,006 million for the six months ended $31^{st}$ December 2019 following completion of 165MW Olkaria V geothermal power plant and 127% growth in other income from KShs. 211 million in 2018 to KShs. 479 million for the six months ended $31^{st}$ December 2019 following rollout of our business diversification strategy that has seen the Company clinch two drilling contracts in Ethiopia.

### Electricity revenue by source




**Electricity Revenue (KShs Millions)**

| 31-Dec-19 | Legend | 31-Dec-18 |
|---|---|---|
| 4,392 | Hydro | 4,408 |
| 9,383 | Geothermal | 8,583 |
| 197 | Wind | 249 |
| 2,034 | Thermal | 1,800 |
| **16,006** | **Total** | **15,040** |




Depreciation and amortization increased by 11.2% from KShs. 5,133 million to Kshs. 5,708 million attributable to depreciation expense for Olkaria V and Right of use assets following adoption of IFRS 16. Operating profit remained flat, gaining marginally by 1.1% from KShs. 6,629 million to KShs. 6,700 million. Profit before tax rose by 4.3% from KShs 6,022 million to KShs. 6,278 million impacted by lower finance costs following final repayment of the infrastructure bond.

Profit After Tax increased by 98% from KShs. 4,124 million to KShs. 8,170 million for the six months to $31^{st}$ December 2019. The increase is as a result of capital allowances arising from the completion of Olkaria V 165MW. This resulted into a tax credit of KShs. 1,892 million compared to a tax expense of KShs. 1,898 million in the previous period.

Net cash and cash equivalent declined from KShs. 8,763 million to KShs. 5,229 million attributable to lower disbursement from borrowings of KShs. 1,900 million following completion of Olkaria V and payment of dividends of KShs 1,846 million.

## Our Good-to-Great (G2G) Strategy

We continue to focus on our revamped strategy which is to grow our core business of power generation amid an increasing competitive market. We also continue safeguarding and creating value for our stakeholders as well as providing a low cost tariff to our economy in support of the Government's Big Four Agenda. In addition, we are pursuing best operational practices and our power plants continue to deliver the lowest priced energy.

## Outlook

We are continuing with our geothermal led growth strategy. We completed Olkaria V 165MW geothermal power plant in November 2019, construction of 83MW Olkaria 1 Unit 6 geothermal power plant is ongoing. We are also driving our business diversification strategy. We have ongoing geothermal drilling and consultancy services projects in Ethiopia and Kenya. These initiatives are expected to have positive contribution to our future performance.

## Dividend

The Board of Directors does not recommend an interim dividend for the period ended 31 December 2019. The Board of Directors shall make a recommendation regarding any final dividend for the year ended 30 June 2019 once the Audit of the financial statements for the said period is completed following the appointment of the Auditor-General.

## Appreciation

We acknowledge with appreciation the support we continue receiving from the Government and other stakeholders in our endeavor to deliver safe, clean, reliable electricity to the economy while optimizing stakeholder value.

**By Order of the Board**

**REBECCA MIANO (MRS), MBS**
**MANAGING DIRECTOR & CEO**

28 February 2020

KenGen
Kenya Electricity
Generating Company Ltd.

# KENYA ELECTRICITY GENERATING COMPANY PLC

## UNAUDITED INTERIM FINANCIAL STATEMENTS

## FOR THE SIX MONTHS ENDED 31 DECEMBER 2019

## Statement of profit or loss and other comprehensive income

| | Note | Unaudited 31 Dec 2019 | 31 Dec 2018 |
|---|---|---|---|
| | | Shs'000 | Shs'000 |
| **Revenue** | | | |
| Electricity Revenue | 4 (a) | 16,005,908 | 15,040,079 |
| Steam Revenue | 4 (a) | 2,896,384 | 2,939,519 |
| Fuel charge | 4 (a) | 3,376,262 | 4,094,958 |
| Water charge | 4 (a) | 82,693 | 109,759 |
| **Total revenue** | | **22,361,247** | **22,184,315** |
| Fuel costs | 5 | (3,364,647) | (4,035,029) |
| Water costs | 5 | (82,693) | (109,759) |
| **Reimbursable expenses** | | **(3,447,340)** | **(4,144,788)** |
| **Revenue less reimbursable expenses** | | **18,913,907** | **18,039,527** |
| Other Income | 6 | 478,847 | 211,197 |
| Other (losses)/gains - net | 7 | 245,988 | 157,672 |
| | | **19,638,743** | **18,408,396** |
| **Expenses** | | | |
| Depreciation and amortisation | 8 (a) | (5,708,497) | (5,132,857) |
| Employee expenses | 8 (b) | (3,750,331) | (3,152,561) |
| Steam costs | 8 (c) | (1,661,469) | (1,666,672) |
| Plant operation and maintenance expenses | 8 (d) | (663,883) | (695,430) |
| Other expenses | 8 (e) | (1,154,787) | (1,132,011) |
| **Operating profit** | | **6,699,776** | **6,628,865** |
| Finance income | 9 | 723,312 | 732,939 |
| Finance costs | 10 | (1,144,681) | (1,340,029) |
| **Profit before income tax** | | **6,278,407** | **6,021,775** |
| Income tax expense | 11(a) | 1,891,539 | (1,897,529) |
| **Profit for the period** | | **8,169,946** | **4,124,246** |
| **Items that may be reclassified subsequently to profit or loss:** | | | |
| - Revaluation of bonds available for sale | 17 | (4,870) | 12,504 |
| - Deferred tax | 17 | 1,461 | - |
| Other comprehensive income for the year, net of income tax | | (3,409) | 12,504 |
| **Total comprehensive income for the period** | | **8,166,537** | **4,136,750** |
| **Earnings per share** | | | |
| **Basic and diluted (Shs)** | 12 | **1.24** | **0.63** |

## Statement of financial position

| | Note | 31 Dec 2019 Shs'000 | 30 June 2019 Shs'000 |
|---|---|---|---|
| **ASSETS** | | | |
| **Non-current assets** | | | |
| Property, plant and equipment | 13 | 349,722,235 | 346,737,310 |
| Leasehold land | 14 | 4,080,782 | 4,110,583 |
| Intangible assets | 15 | 1,479,718 | 1,524,693 |
| Right of use assets | 16 | 1,148,478 | - |
| Financial asset at amortised cost | 17 | 3,274,030 | 3,319,106 |
| Financial asset at fair value through profit or loss | 18 | 9,349,637 | 11,958,359 |
| Retirement benefit asset | 27(b) | 143,025 | 143,025 |
| | | **369,197,905** | **367,793,076** |
| **Current assets** | | | |
| Inventories | 19 | 1,765,607 | 1,324,294 |
| Trade receivables | 20 | 20,467,061 | 18,855,494 |
| Financial asset at amortised cost | 17 | 40,167 | 41,061 |
| Financial asset at fair value through profit or loss | 18 | 968,028 | 1,116,274 |
| Other receivables and prepayments | 21 | 2,544,116 | 2,597,941 |
| Current income tax recoverable | 11(c) | 126,088 | 150,942 |
| Financial asset at fair value through other comprehensive income (FVOCI) | 22 | 362,966 | 367,837 |
| Cash and bank balances | 23 | 5,121,534 | 9,175,330 |
| | | **31,395,567** | **33,629,173** |
| **TOTAL ASSETS** | | **400,593,472** | **401,422,249** |
| **EQUITY AND LIABILITIES** | | | |
| **Equity attributable to owners** | | | |
| Share capital | 24 | 16,487,711 | 16,487,710 |
| Share premium | 24 | 22,151,131 | 22,151,131 |
| Other reserves | 25 | 68,621,617 | 69,696,451 |
| Retained earnings | 25 | 95,870,615 | 86,629,244 |
| | | **203,131,074** | **194,964,536** |
| **Non- current liabilities** | | | |
| Borrowings | 26 | 126,858,333 | 128,771,882 |
| Deferred income tax | 28 | 46,795,191 | 48,868,799 |
| Lease Liabilities | 29 | 1,013,347 | - |
| Trade and other payables | 30 | 3,169,319 | 3,219,566 |
| | | **177,836,190** | **180,860,247** |
| **Current liabilities** | | | |
| Borrowings | 26 | 10,388,278 | 12,463,018 |
| Trade and other payables | 30 | 7,199,762 | 9,127,256 |
| Provision for compensating tax | 31 | 1,861,022 | 2,161,022 |
| Lease Liabilities due within one year | 29 | 177,146 | - |
| Dividends payable | 32 | - | 1,846,170 |
| | | **19,626,208** | **25,597,466** |
| **TOTAL EQUITY AND LIABILITIES** | | **400,593,472** | **401,422,249** |

The financial statements on page 2 to 28 were approved and authorised for issue by the Board of Directors on ...... February 2020 and were signed on its behalf by:

| ................................ | ................................ | ................................ |
|---|---|---|
| **Joshua Choge** | **Joseph Sitati** | **Rebecca Miano** |
| **Chairman** | **Director** | **Managing Director & CEO** |

**Statement of changes in equity**

| | Share capital Shs'000 | Share premium Shs'000 | Other reserves Shs'000 | Retained earnings Shs'000 | Total Shs'000 |
|---|---|---|---|---|---|
| As at 1 July 2018 | 16,487,710 | 22,151,131 | 71,805,994 | 79,658,790 | 190,103,625 |
| Profit for the year | - | - | - | 4,124,246 | 4,124,246 |
| Other comprehensive income; | | | | | |
| - revaluation of bonds available for sale | - | - | 12,504 | - | 12,504 |
| -remeasurement of defined benefit | - | - | - | - | - |
| Rounding | - | - | - | - | - |
| Total Comprehensive for the year | - | - | 12,504 | 4,124,246 | 4,136,750 |
| Transfer of excess depreciation | - | - | (1,542,422) | 1,542,422 | - |
| Deferred tax on excess depreciation & amortisation | - | - | 462,726 | (462,726) | - |
| Dividends 2017 | - | - | - | (2,637,809) | (2,637,809) |
| As at 31 December 2018 | 16,487,710 | 22,151,131 | 70,738,802 | 82,224,923 | 191,602,566 |

## Statement of changes in equity

| | Share capital Shs'000 | Share premium Shs'000 | Other reserves Shs'000 | Retained earnings Shs'000 | Total Shs'000 |
|---|---|---|---|---|---|
| As at 1 July 2018 | 16,487,710 | 22,151,131 | 71,805,994 | 79,658,790 | 190,103,625 |
| Profit for the year | - | - | - | 8,169,946 | 8,169,946 |
| Other comprehensive income; | | | | | |
| - revaluation of bonds available for sale | - | - | (4,870) | - | (4,870) |
| -remeasurement of defined benefit | - | - | 1.461 | - | 1.461 |
| Rounding | - | - | - | - | - |
| Total Comprehensive for the year | - | - | (3,409) | 8,169,946 | 8,166,537 |
| Transfer of excess depreciation | - | - | (1,530,607) | 1,530,607 | - |
| Deferred tax on excess depreciation & amortisation | - | - | 459,182 | (459,182) | - |
| Dividends 2019 | - | - | - | - | - |
| As at 31 December 2019 | 16,487,711 | 22,151,131 | 68,621,617 | 95,870,615 | 203,131,074 |

## Statement of cash flows

| | | 31 Dec 2019 (Unaudited) | 31 Dec 2018 |
|---|---|---|---|
| Cash flows from operating activities | Note | Shs '000 | Shs '000 |
| Cash generated from operations | | 8,936,314 | 24,440,332 |
| Income tax paid | | (155,754) | (118,639) |
| Finance income received | | 346,839 | 295,799 |
| Payment of compensating tax | | (300,000) | (50,000) |
| Net cash generated from operating activities | | 8,827,399 | 24,567,492 |
| Cash flows from investing activities | | | |
| Purchase of property, plant and equipment | | (8,563,760) | (18,822,143) |
| Purchase of prepaid leasehold land | | - | - |
| Purchase of intangible assets | | (690) | (72,472) |
| Net cash used in investing activities | | (8,564,450) | (18,894,615) |
| Cash flows from financing activities | | | |
| Repayment of borrowings | | (4,395,075) | (4,021,012) |
| Proceeds from borrowings | | 3,191,389 | 5,090,787 |
| Finance costs paid | | (1,131,902) | (1,363,190) |
| Dividends paid | | (1,846,170) | - |
| Leases paid | | (93,036) | - |
| Net cash used in financing activities | | (4,274,794) | (293,415) |
| Net increase /(decrease) in cash and cash equivalents | | (4,011,845) | 5,379,462 |
| Cash and cash equivalents at the beginning of the year | | 9,324,190 | 3,383,402 |
| Effects of exchange rate changes on cash and cash equivalents | | (83,121) | - |
| Cash and cash equivalents at the end of the period | | 5,229,224 | 8,762,864 |